This change in the Chinese external posture is clearly reflected in the trajectory of India–China relations. As we have seen, India and China were roughly at the same economic level in 1978, with similar GDP and per capita income. Though China began to grow much faster thereafter, the gap between the two countries was not very significant even a decade later, when the Indian Prime Minister Rajiv Gandhi paid a historic visit to Beijing in December 1988. It was then possible for Deng Xiaoping to declare that there could not be an Asian Century without India and China growing together and playing a resurgent role. The surge in India's GDP growth as a result of its own economic reforms and liberalization policies adopted in the early 1990s expanded India's political and economic profile. At the turn of the century, India was behind China but was seen as shrinking the gap. In the period 2003–2007, India's growth rate accelerated while China's began to slow down. This was the brief period when India's diplomatic options multiplied. It was able to leverage the advance of its relations with one major power to promote its relations with other major powers, thereby expanding its strategic space.

During the visit of the Indian Prime Minister Vajpayee to China in 2003, two important decisions were taken. One, the two countries agreed to seek an early political solution to the India–China border dispute, instituting regular negotiations at the level of Special Representatives of their respective leaders. The Chinese side also conveyed its recognition of Sikkim as a state of India. It had not accepted the accession of the state to the Indian Union in 1975 and its maps had continued to depict it as an independent country. The backdrop to these important decisions was the recognition that relations between the two large emerging economies had now acquired a global and strategic dimension, going beyond their bilateral relations. It was, therefore, important to resolve the long-standing border issue in order to enable the two countries to cooperate more closely in the shaping of the emerging regional and global architecture.

This development was carried forward during the subsequent visit of Chinese Premier Wen Jiabao to India in April 2005. As Foreign Secretary, I was closely associated with the visit. The Chinese were already aware that